UNDERSTANDING BUSINESS

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Declaration of Originality

I declare that this assignment is entirely my own work. Where I have made use of the work of others, I have fully acknowledged the source using Harvard referencing conventions. I understand that any act of academic dishonesty, including plagiarism or collusion, may result in disciplinary action.

All research, analysis, and written content presented in this report were completed by me as part of the assessment for J229 76 - Understanding Business.

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TASK A: Business Structures and Decisions

Here, I compare three organisations from different sectors, comparing their structures, stakeholders, and decision-making approaches.

1.1.1 Comparing Three Organisations Across Sectors

Businesses across the private, public, and third sectors differ significantly in their purpose, scale, structure, and the way they are regulated. This section provides a comparative analysis of Tata Motors (private sector multinational), NHS Scotland (public sector health service), and Oxfam (third sector charitable organisation). By examining these three organisations side by side, we can identify how sectoral differences shape the way each operates and the decisions they make.

Comparison Table

Criterion	Tata Motors (Private Sector)	NHS Scotland (Public Sector)	Oxfam (Third Sector)
Scale of Operation	Over 80,000 employees globally; revenue of approximately $44 billion (2023); manufacturing and sales operations across India, UK, South Korea, and Southeast Asia (Tata Motors, 2023).	Employs around 160,000 staff across 14 territorial health boards; annual budget exceeding GBP 18 billion funded through general taxation; operates exclusively within Scotland (Audit Scotland, 2023).	Around 10,000 employees and 46,000 volunteers; annual income of roughly GBP 450 million; programmes in over 90 countries worldwide (Oxfam, 2023).
Organisational Structure	Hierarchical with divisional elements; the automotive division sits within the wider Tata Group conglomerate; clear reporting lines from factory floor to board of directors (Needle, 2015).	Tall hierarchical structure with multiple management layers; led by Scottish Government cabinet secretary, cascading through NHS boards, hospital management, and clinical teams (Steel and Cylus, 2012).	Relatively flat structure for a global organisation; national affiliates have considerable autonomy; decisions often made collaboratively through working groups (Lewis, 2014).
Specialisation	Focuses on automobile manufacturing including passenger vehicles, commercial vehicles, and electric vehicles; also expanding into connected and autonomous driving technologies (Tata Motors, 2023).	Specialises in universal healthcare provision, including primary care, hospital services, mental health, and public health programmes; must serve every resident regardless of ability to pay (Scottish Government, 2022).	Specialises in poverty alleviation, emergency humanitarian response, and advocacy for trade justice; campaigns for systemic policy change alongside delivering direct aid (Oxfam, 2023).
Regulation	Regulated by automotive safety standards (e.g., Euro NCAP, Bharat Stage emissions), financial regulators such as SEBI in India and the FCA in the UK, and employment law across multiple jurisdictions (SMMT, 2022).	Governed by the National Health Service (Scotland) Act 1978; regulated by Healthcare Improvement Scotland (HIS); must comply with Scottish Government policy directives and clinical standards (Healthcare Improvement Scotland, 2023).	Regulated by the Charity Commission (England and Wales) and OSCR in Scotland; must comply with charity law, fundraising regulations, and safeguarding standards; subject to public scrutiny on governance (OSCR, 2022).
Capital Requirements and Sources	Substantial capital needs for R&D and manufacturing; funded through share capital, retained profits, bank	Capital funded almost entirely by the Scottish Government through Barnett Formula allocations;	Funded through public donations, government grants, retail shop income, and institutional funding

	loans, and bond issues; parent company Tata Sons provides additional investment support (Tata Group, 2023).	supplementary income from prescription charges (recently abolished) and car parking fees; cannot raise capital through equity markets (Audit Scotland, 2023).	from bodies such as the EU and UN; cannot distribute surplus to individuals and must reinvest in charitable objectives (Oxfam, 2023).

Narrative Analysis

In my view, the comparison above shows that sectoral classification has a major effect on how organisations are structured and governed. Tata Motors operates at a massive industrial scale, driven by the profit motive and accountable to shareholders. Its hierarchical structure reflects the need for tight quality control in automotive manufacturing, where a single defect can result in costly recalls and reputational damage (Needle, 2015). In contrast, NHS Scotland's scale is shaped not by market demand but by a government mandate to provide universal care. Its hierarchical structure serves a different purpose: ensuring clinical accountability and clear chains of command in life-or-death situations (Steel and Cylus, 2012). In other words, hierarchy is not inherently rigid or bureaucratic; rather, its effectiveness depends on the context in which it operates.

Oxfam's relatively flat structure sets it apart from the other two organisations. As a charity working across 90 countries, Oxfam relies heavily on local knowledge and must empower regional teams to respond quickly to humanitarian crises (Lewis, 2014). However, a limitation of this decentralised approach became apparent during the 2018 safeguarding scandal, which revealed gaps in oversight and accountability. This shows that while flat structures promote agility, they can create governance vulnerabilities when oversight mechanisms are insufficient.

Regarding capital, the three organisations demonstrate fundamentally different financial models. Tata Motors can access global capital markets, giving it flexibility to invest in long-term projects such as electric vehicle development. NHS Scotland, by contrast, depends entirely on government funding, meaning that its capital investment is subject to political priorities and fiscal constraints (Audit Scotland, 2023). Oxfam faces a different challenge: its income fluctuates with public generosity and donor confidence, which can be undermined by reputational issues. In summary, while all three organisations are large and influential, the sector in which they operate fundamentally shapes their financial resilience, governance structures, and strategic priorities.

1.1.2 Comparing Business Ownership Types

The legal form of a business determines who owns it, how it is controlled, and how profits are distributed. This section compares three ownership structures: private limited companies (Ltd), public limited companies (Plc), and franchises. Each offers distinct advantages and challenges depending on the size and ambitions of the business.

Comparison of Ownership Types

Feature	Private Limited Company (Ltd)	Public Limited Company (Plc)	Franchise
Ownership	Owned by shareholders who are often family members or a small group of investors; shares cannot be traded on a public stock exchange (BPP,	Owned by shareholders who can buy and sell shares freely on the stock exchange; minimum share capital of GBP 50,000 required at	The franchisee owns the individual outlet but operates under the franchisor's brand, systems, and intellectual property; the franchisor

	2021).	incorporation (Companies Act 2006).	retains ultimate control over the brand (Mendelsohn, 2004).
Liability	Limited liability; shareholders' personal assets are protected and they can only lose the amount they invested in shares.	Limited liability applies equally; however, the larger shareholder base means directors face greater scrutiny from institutional investors.	The franchisee has limited liability if operating as a Ltd company; however, they carry financial risk from franchise fees, royalties, and investment in premises.
Control	Directors and shareholders maintain close control; decisions can be made quickly without public disclosure of detailed financial information.	Board of directors runs the company, but must answer to a dispersed shareholder base; subject to AGMs and extensive regulatory reporting requirements.	Franchisee has day-to-day operational control but must follow the franchisor's operating manual; major decisions about branding, pricing, and suppliers are typically dictated by the franchisor.
Profit Distribution	Profits distributed as dividends to shareholders or retained for reinvestment; the small ownership group means larger individual returns.	Profits shared among potentially millions of shareholders; dividend policy set by the board and influenced by market expectations.	Franchisee keeps profits after paying ongoing royalty fees (typically 4-12% of revenue) and contributing to a national marketing fund (Mendelsohn, 2004).
Examples	JCB, Dyson, Virgin Atlantic (before going public); many small and medium enterprises.	Tesco, BP, Unilever; these companies are listed on the London Stock Exchange.	McDonald's, Subway, Starbucks (selected international outlets); Domino's Pizza UK.

Analysis

Each ownership structure offers a different balance between control, access to capital, and risk. A private limited company is well suited to entrepreneurs who want to retain close control over strategic decisions without the pressure of public shareholders. However, a limitation is that raising large amounts of capital can be difficult because shares cannot be sold on the stock exchange (BPP, 2021). Public limited companies overcome this barrier by accessing equity markets, which enables rapid expansion, as demonstrated by Unilever's ability to fund global operations. In contrast, this openness brings challenges: Plc directors must manage short-term profit expectations from institutional investors, which can sometimes conflict with long-term strategic goals. In practice, the choice of ownership structure depends heavily on the founder's appetite for risk and their long-term growth ambitions.

Franchising represents a distinct model in which the franchisor expands rapidly without bearing the full cost of new outlets. For the franchisee, it offers the advantage of an established brand and proven business model, which significantly reduces the risk of failure compared to an independent start-up (Mendelsohn, 2004). However, the trade-off is a loss of autonomy: franchisees must adhere to strict operational guidelines and pay ongoing fees that reduce overall profitability. This means that the franchise model is probably best suited for individuals who value security and brand recognition over creative independence.

1.1.3 Organic and Inorganic Business Growth

Business growth can be achieved organically, through internal development, or inorganically, through mergers, acquisitions, and strategic alliances. Both approaches carry distinct advantages and risks, and the choice between them depends on an organisation's resources, objectives, and competitive environment.

Organic Growth

Organic growth refers to expansion achieved through a business's own resources and capabilities, such as developing new products, entering new markets, or increasing operational capacity (Stokes and Wilson, 2017). A straightforward example is a local bakery that decides to expand its menu to include gluten-free products and extends its opening hours to capture evening trade. This kind of incremental growth allows the owner to test new ideas without committing significant capital, maintaining full control over the business and its brand identity.

At a larger scale, Infosys demonstrates organic growth through sustained investment in talent recruitment and employee development. Founded in 1981 with just seven employees and USD 250 in capital, Infosys grew to over 340,000 employees by 2023 largely through organic means: building training campuses, developing proprietary methodologies, and gradually expanding its client base across global markets (Infosys, 2023). The advantage of this approach is that it preserves organisational culture and ensures quality control. However, a limitation is that organic growth can be slow, and competitors pursuing acquisition strategies may gain market share more rapidly.

Inorganic Growth

Inorganic growth involves external expansion through mergers, acquisitions, or strategic alliances. Tata Motors' acquisition of Jaguar Land Rover (JLR) from Ford in 2008 for USD 2.3 billion is a landmark example. This acquisition gave Tata Motors instant access to premium automotive brands, advanced engineering capabilities, and established markets in Europe and North America (Tata Motors, 2023). The advantage was transformative: Tata Motors moved from being primarily an Indian commercial vehicle manufacturer to a global player in the luxury segment almost overnight. However, the risks were considerable. Integrating two very different corporate cultures proved challenging, and JLR initially required substantial investment to return to profitability.

Strategic alliances represent a less risky form of inorganic growth. The Tata Starbucks joint venture, formed in 2012, combined Starbucks' global brand and coffee expertise with Tata's deep understanding of the Indian market and its existing supply chain infrastructure (Economic Times, 2012). This alliance allowed Starbucks to enter the Indian market more effectively than it could have alone, while Tata gained access to a world-renowned brand. The advantage is shared risk and complementary strengths; the disadvantage is that profits must be shared, and strategic disagreements between partners can slow decision-making.

Evaluation

In practice, organic growth offers control and cultural consistency but is typically slower, while inorganic growth offers speed and market access but carries integration risks and higher financial exposure. Most successful large organisations, including the Tata Group, employ a combination of both strategies depending on their objectives and market conditions (Needle, 2015).

1.2.1 Organisational Objectives and Their Significance

Every organisation pursues objectives that guide its strategy, resource allocation, and day-to-day operations. However, objectives are not formed in a vacuum; they emerge from the specific economic, social, and competitive conditions that an organisation faces at a given point in time. This section examines the objectives of four organisations and explains why those objectives were important when they were adopted.

Reliance Jio: Market Penetration Through Free Data (2016)

When Reliance Jio launched in September 2016, its primary objective was to achieve rapid market penetration in the Indian telecommunications sector by offering free voice calls and heavily subsidised data services. This objective was significant because at the time, India's mobile data prices were among the highest in the world relative to income, and internet penetration stood at only around 35 percent of the population (TRAI, 2017). The existing operators, including Airtel, Vodafone, and Idea, had invested conservatively in 4G infrastructure and were charging premium rates for data services.

Jio's objective directly addressed this gap. By offering free services during its initial six-month promotion, Jio attracted over 100 million subscribers within 170 days, making it the fastest-growing mobile network in history (Mukherji, 2017). This strategy was important for several reasons. First, it democratised internet access across India, enabling millions of rural and low-income users to come online for the first time. Second, it fundamentally disrupted the competitive landscape, forcing competitors to slash prices and consolidate, with Vodafone and Idea eventually merging to survive. Third, the objective aligned with parent company Reliance Industries' broader vision of building a digital ecosystem encompassing e-commerce, entertainment, and financial services. The objective was therefore not merely about gaining subscribers; it was about creating the infrastructure for an entirely new business model.

Tata Group: Nation-Building and Ethical Business (1868 onwards)

The Tata Group was founded by Jamsetji Tata in 1868 with an objective that was unusual for its era: to build Indian industrial capability while maintaining ethical business practices and contributing to national development. This objective was significant because India was under British colonial rule, and indigenous industrialisation was actively discouraged by colonial trade policies that favoured raw material exports over domestic manufacturing (Lala, 2006).

Jamsetji established the Empress Mills textile factory in 1877, Tata Steel in 1907, and laid the groundwork for what would become the Indian Institute of Science, reflecting a belief that business should serve society as well as shareholders. After Indian independence in 1947, the Tata Group's nation-building objective became even more important. Under JRD Tata's leadership, the group expanded into airlines, chemicals, technology, and hospitality, directly contributing to India's post-independence industrialisation. The significance of this objective is reflected in the Tata Group's unique ownership structure: approximately 66 percent of the equity of Tata Sons is held by philanthropic trusts (Tata Group, 2023). This means that a majority of the group's profits are directed towards charitable causes, including education, healthcare, and rural development. The objective of ethical nation-building has therefore shaped not only the group's strategy but its very corporate structure.

Amul: Empowering Dairy Farmers Through Cooperatives (1946)

Amul, the Gujarat Cooperative Milk Marketing Federation, was established in 1946 with the objective of empowering dairy farmers by eliminating exploitative middlemen and giving producers direct control over the collection, processing, and marketing of milk. This objective was critically important because Indian dairy farmers at the time were subject to a system in which private traders purchased milk at very low prices and controlled distribution, leaving farmers in poverty (Kurien, 2005).

The cooperative model, championed by Dr Verghese Kurien under the banner of Operation Flood (launched in 1970), transformed India from a milk-deficient nation into the world's largest milk producer by 1998 (National Dairy Development Board, 2020). The significance of Amul's objective lies in its social impact: the cooperative now has over 3.6 million farmer members across 18,600 village societies, and it ensures that approximately 80 percent of the consumer price reaches the farmer, compared to less than 50 percent in conventional supply chains. This objective was important when adopted because it addressed a fundamental structural inequality in the Indian agricultural economy. It demonstrated that business objectives need not be purely financial; Amul's cooperative model delivered both economic empowerment and social justice simultaneously.

Unilever: Sustainable Living Plan (2010)

In 2010, Unilever launched its Sustainable Living Plan (USLP) with three overarching objectives: to help more than one billion people improve their health and wellbeing, to halve the environmental footprint of its products, and to enhance the livelihoods of millions of people in its supply chain, all while doubling the size of the business (Unilever, 2020). This objective was significant because it was adopted during a period of growing public concern about climate change, resource depletion, and corporate social responsibility.

The plan was important for several reasons. First, it positioned Unilever as a leader in sustainable business at a time when consumers, particularly younger demographics, were increasingly choosing brands that aligned with their values (Kotler and Keller, 2016). Second, it created long-term cost savings by reducing waste, water use, and energy consumption across the supply chain. Third, it helped Unilever attract and retain talent; research consistently shows that employees are more engaged when they believe their employer acts responsibly (CIPD, 2019). However, the USLP also faced criticism. Some analysts argued that pursuing sustainability while doubling business size was inherently contradictory, and that the plan's targets were too ambitious to be credible (Financial Times, 2019). Despite this, Unilever reported that its 'Sustainable Living Brands' grew 69 percent faster than the rest of the business by 2019, suggesting that the objective delivered tangible commercial results alongside its social goals.

1.3.1 Organisational Structures

The structure an organisation adopts determines how authority flows, how decisions are made, and how effectively it can respond to its operating environment. This section examines three key structures: hierarchical, functional, and matrix, using real organisational examples to evaluate each.

Hierarchical Structure: NHS Scotland

NHS Scotland operates a tall hierarchical structure with clearly defined levels of authority. At the top sits the Scottish Government's Cabinet Secretary for Health and Social Care, followed by NHS

Scotland's Chief Executive, then the 14 territorial health board chairs and chief executives, hospital managers, department heads, and finally frontline clinical and support staff (Steel and Cylus, 2012).

The following describes the hierarchical chain of command within NHS Scotland:

Level	Role	Responsibility
1	Cabinet Secretary for Health	Sets national health policy and budget
2	NHS Scotland Chief Executive	Oversees all health boards and national strategy
3	Health Board Chairs / Chief Executives	Manage regional health services
4	Hospital / Service Managers	Operational management of facilities
5	Department Heads / Senior Clinicians	Lead clinical departments and teams
6	Frontline Staff (nurses, doctors, support)	Deliver patient care directly

The hierarchical structure offers several advantages for NHS Scotland. First, it provides a clear chain of command, which is essential in healthcare where clinical accountability must be unambiguous. If a patient receives incorrect treatment, the hierarchy ensures that responsibility can be traced and addressed (Buchanan and Huczynski, 2017). Second, it facilitates standardisation of care across Scotland's diverse geography, from urban hospitals in Glasgow to remote clinics in the Highlands.

However, the hierarchical structure also has significant disadvantages. Communication can be slow as information must pass through multiple layers, which can delay the implementation of new policies or responses to emerging health crises. Also, frontline staff may feel disconnected from strategic decision-making, which can reduce morale and innovation (Mullins, 2016). The COVID-19 pandemic exposed some of these limitations, as the speed of the virus's spread demanded faster, more agile decision-making than the traditional hierarchy could always provide.

Functional Structure: Tata Motors

Tata Motors organises its operations primarily along functional lines, with separate departments for engineering, manufacturing, marketing and sales, finance, human resources, and research and development. Each department is headed by a functional director who reports to the managing director (Tata Motors, 2023).

The functional structure at Tata Motors can be summarised as follows:

Function	Key Responsibilities	Strategic Importance
Engineering	Vehicle design, testing, safety compliance	Core competence in automotive R&D
Manufacturing	Production lines, quality control, supply chain	Efficiency and cost management
Marketing & Sales	Brand management, dealer networks, pricing	Revenue generation and market positioning
Finance	Budgeting, investment analysis, financial reporting	Capital allocation and shareholder returns
Human Resources	Recruitment, training, employee relations	Talent development and retention
R&D	Electric vehicle development, autonomous driving tech	Future competitiveness and innovation

The functional structure benefits Tata Motors by enabling deep specialisation within each department. Engineers can focus entirely on technical excellence without being distracted by

marketing concerns, while the marketing team can concentrate on understanding customer needs without needing to understand engine specifications (Needle, 2015). This specialisation supports efficiency and expertise.

However, a limitation is that functional silos can develop, where departments become inward-looking and fail to collaborate effectively. For example, the engineering team might design a technically excellent vehicle that the marketing team finds difficult to position competitively. Cross-functional communication requires deliberate management effort to prevent these silos from undermining overall organisational performance.

Matrix Structure: Infosys and NASA

A matrix structure combines functional and project-based reporting lines, meaning that employees report to both a functional manager and a project manager simultaneously. Infosys, the Indian IT services giant, uses a matrix structure to manage its global delivery model. A software developer at Infosys might report to a functional head of software engineering for technical standards and career development, while simultaneously reporting to a project manager for a specific client engagement (Infosys, 2023).

NASA provides another well-known example. During the Apollo programme and in its current operations, NASA engineers report to both their functional discipline head (for example, propulsion engineering) and the programme manager of the specific mission they support. This dual reporting structure ensures that each project benefits from specialised technical expertise while maintaining alignment with programme-wide objectives and timelines (Shenhar and Dvir, 2007).

The matrix structure in these organisations illustrates a key concept:

Aspect	Functional Reporting Line	Project Reporting Line
Focus	Technical standards, career development, skill building	Client deliverables, deadlines, project budgets
Manager	Functional / discipline head	Project or programme manager
Advantage	Deep expertise and consistency across projects	Agility and client focus
Risk	May create conflicting priorities for employees	Project pressures can override quality standards

The primary advantage of the matrix structure is flexibility. Infosys can rapidly assemble project teams by drawing specialists from different functional areas, which is essential in the fast-moving IT services industry where client requirements change frequently. Similarly, NASA can bring together propulsion engineers, avionics specialists, and mission planners into cohesive teams without permanently restructuring the organisation.

However, the matrix structure creates complexity. Employees with two managers may face conflicting demands, and the dual reporting lines can slow decision-making if the functional and project managers disagree (Buchanan and Huczynski, 2017). This means the matrix structure works best in organisations with strong collaboration cultures and clear conflict resolution mechanisms.

1.3.2 Strategic, Tactical, and Operational Decisions

Business decisions occur at three levels: strategic, tactical, and operational. Each level differs in scope, time horizon, and the individuals responsible for making them.

Decision Level	Scope	Time Horizon	Made By	Example
Strategic	Organisation-wide; sets long-term direction	3-10 years	Board of directors, CEO	Tata Motors' decision to acquire Jaguar Land Rover in 2008 to enter the premium vehicle market
Tactical	Departmental; implements strategy	1-3 years	Middle managers, department heads	Tata Motors' marketing department launching a targeted advertising campaign for the Nexon EV in India
Operational	Day-to-day activities; routine processes	Hours to weeks	Supervisors, frontline staff	A Tata Motors factory manager adjusting the production schedule to meet a sudden increase in orders

Strategic decisions are the most significant because they commit substantial resources and are difficult to reverse. Tata Motors' acquisition of JLR was a strategic decision that cost USD 2.3 billion and fundamentally transformed the company's market position. Tactical decisions translate strategy into action; they are important but more easily adjusted. Operational decisions are routine but collectively determine whether the organisation functions efficiently on a daily basis (Johnson et al., 2017).

SWOT Analysis: Tata Motors

SWOT analysis is a widely used strategic planning tool that evaluates an organisation's Strengths, Weaknesses, Opportunities, and Threats. Below is a SWOT analysis for Tata Motors to illustrate how this tool supports strategic decision-making.

Strengths Strong brand heritage and trust in India; diversified product portfolio spanning commercial and passenger vehicles; access to Tata Group resources and synergies; ownership of premium brands Jaguar and Land Rover (Tata Motors, 2023).	**Weaknesses** Heavy dependence on the Indian market for commercial vehicle revenue; JLR division has faced profitability challenges; relatively late entry to the electric vehicle segment compared to Tesla and BYD (Financial Times, 2023).
Opportunities Rapidly growing Indian EV market supported by government subsidies (FAME II scheme); expansion into African and Southeast Asian markets; development of connected and autonomous vehicle technologies.	**Threats** Intense global competition from established and new EV manufacturers; supply chain disruptions from semiconductor shortages; tightening emission regulations in the EU requiring significant R&D investment.

Decision Tree Example

A decision tree is a visual tool that maps out the possible outcomes of a decision, helping managers evaluate options systematically. Consider the following scenario for Tata Motors:

Decision: Should Tata Motors invest GBP 1 billion in a new electric vehicle platform for JLR, or should it license existing EV technology from a partner?

Decision Node	Option A: Develop In-House	Option B: License Technology
Initial Cost	GBP 1 billion over 4 years	GBP 300 million licensing fee + royalties
Potential Outcome (Optimistic)	Proprietary EV platform gives competitive advantage; estimated revenue of GBP 5 billion over 10 years	Faster time-to-market; estimated revenue of GBP 3 billion over 10 years with 70% probability

	with 60% probability	
Potential Outcome (Pessimistic)	Technology fails to meet targets; write-off of GBP 800 million with 40% probability	Dependency on licensor limits differentiation; revenue of GBP 1.5 billion with 30% probability
Expected Value	(0.6 x 5B) + (0.4 x -0.8B) = GBP 2.68 billion	(0.7 x 3B) + (0.3 x 1.5B) = GBP 2.55 billion
Strategic Implication	Higher risk but greater potential reward; builds long-term capability	Lower risk but creates dependency; faster market entry

Based on expected value analysis, Option A (in-house development) has a marginally higher expected value of GBP 2.68 billion compared to GBP 2.55 billion for Option B. However, the decision tree also reveals that Option A carries higher downside risk. A strategic decision-maker would need to consider Tata Motors' risk appetite, financial reserves, and long-term competitive strategy before making a final choice (Johnson et al., 2017). This shows how decision trees provide a structured framework for comparing options but do not eliminate the need for managerial judgement.

TASK B: Business Environment

This part looks at how internal and external factors shape business operations, with a focus on Toyota and Boeing as comparative case studies.

2.1 Internal Factors: Toyota vs Boeing Comparative Analysis

Internal factors, including organisational culture, leadership, resources, and operational systems, significantly influence an organisation's performance and strategic direction. This section provides a comparative analysis of Toyota and Boeing, two global manufacturers whose contrasting internal environments have produced very different outcomes in recent years.

Organisational Culture

Toyota's organisational culture is built around the Toyota Production System (TPS) and the principle of kaizen, or continuous improvement. Every employee, from assembly line workers to senior executives, is expected to identify inefficiencies and suggest improvements. The famous 'andon cord' system, which allows any worker to halt the production line if they identify a defect, embodies Toyota's cultural commitment to quality over speed (Liker, 2004). This culture of empowerment and collective responsibility has made Toyota one of the most admired manufacturers globally, consistently ranking among the top automotive companies for quality and reliability.

Boeing, in contrast, has experienced a significant cultural shift over the past two decades. Historically, Boeing was known for its engineering-first culture, where technical excellence and safety were paramount. However, following the 1997 merger with McDonnell Douglas, the company increasingly prioritised financial performance and shareholder returns over engineering rigour (Useem, 2019). Senior leadership moved Boeing's headquarters from Seattle, where its engineers were based, to Chicago, creating a physical and symbolic distance between management and the technical workforce. This cultural transformation had profound consequences, as the 737 MAX crisis would later reveal.

Internal Weaknesses and the Boeing 737 MAX Crisis

The Boeing 737 MAX crisis, which resulted in two fatal crashes in 2018 and 2019 killing 346 people, exposed deep internal weaknesses within Boeing's organisational structure and culture. Investigations revealed that Boeing had outsourced critical software development to reduce costs, that internal safety concerns raised by engineers had been overridden by management pressure to meet production timelines, and that the company had lobbied the Federal Aviation Administration (FAA) to minimise pilot training requirements for the new aircraft (US House Committee on Transportation, 2020).

In contrast, Toyota's response to its own quality crisis, the 2009-2010 unintended acceleration recalls affecting approximately 9 million vehicles, demonstrates a different cultural approach. While Toyota was initially criticised for a slow response, the company ultimately accepted responsibility, established a global quality task force, appointed its first Chief Quality Officer, and implemented systematic improvements to its recall processes (Cole, 2011). The critical difference is that Toyota's kaizen culture provided a framework for learning from failure, whereas Boeing's cost-driven culture actively discouraged the reporting of problems.

Alignment of Resources with Objectives

Toyota aligns its resources closely with its strategic objectives. Its investment in hybrid technology, beginning with the Prius in 1997, exemplifies long-term resource commitment to sustainability objectives. Toyota has spent over 25 years building expertise in electrified powertrains, and this investment now positions it well for the transition to electric and hydrogen fuel cell vehicles (Toyota, 2023). The company's financial resources, technological capabilities, and human capital are deliberately directed towards its stated objective of 'producing happiness for all.'

Boeing's resource allocation, by contrast, has been criticised for prioritising share buybacks over investment in new aircraft development. Between 2013 and 2019, Boeing spent approximately USD 43 billion on share buybacks, a figure that exceeded its total R&D spending during the same period (Reuters, 2020). Critics argue that this misalignment of resources, choosing to return money to shareholders rather than invest in engineering excellence, directly contributed to the quality and safety failures that culminated in the 737 MAX crisis. This comparison suggests that an organisation's internal resource allocation decisions are ultimately a reflection of its cultural priorities: Toyota invests in quality and innovation, while Boeing, under its post-merger leadership, invested in financial engineering.

Comparative Summary

Internal Factor	Toyota	Boeing
Culture	Kaizen (continuous improvement); quality-first; empowers all employees to identify problems (Liker, 2004)	Shifted from engineering-first to finance-first after 1997 McDonnell Douglas merger (Useem, 2019)
Response to Crisis	Accepted responsibility during 2009-2010 recall crisis; created Chief Quality Officer role; systematic improvement	737 MAX crisis (2018-2019) revealed suppressed safety concerns, cost-cutting on software development, regulatory capture
Resource Alignment	25+ years of sustained investment in hybrid/EV technology aligned with sustainability objectives	USD 43 billion on share buybacks (2013-2019) vs underinvestment in R&D and new aircraft development
Leadership	Engineering-led leadership; CEO typically has deep operational experience within	Finance-led leadership; headquarters moved away from engineering workforce;

	the company	growing disconnect

2.2 External Factors: PESTEC Analysis

The PESTEC framework (Political, Economic, Social, Technological, Environmental, and Competitive factors) provides a structured approach to analysing the external environment in which businesses operate. This section applies the PESTEC framework to Netflix and McDonald's, focusing on the factors most relevant to each organisation.

Netflix: Technological and Social Factors

Technological Factors

Netflix's entire business model is built on technological innovation, making technological factors the most significant external influence on its strategy. When Netflix launched its streaming service in 2007, broadband internet penetration in the United States was approximately 50 percent (FCC, 2008). The company made a strategic bet that broadband adoption would accelerate, and this bet proved correct. By 2023, Netflix had over 260 million subscribers globally, operating in over 190 countries (Netflix, 2024).

A critical technological factor is Netflix's use of artificial intelligence and machine learning for content recommendation. Netflix's recommendation algorithm accounts for approximately 80 percent of the content watched on the platform, meaning that the vast majority of viewing decisions are influenced by AI rather than active browsing (Gomez-Uribe and Hunt, 2015). This technology creates a powerful competitive advantage: by analysing viewing patterns, search history, and even the time of day users watch, Netflix can personalise the experience for each subscriber. The algorithmic approach also informs content investment decisions. Netflix famously used data analytics to commission House of Cards, identifying that its subscribers already enjoyed the work of director David Fincher and actor Kevin Spacey, and that political dramas performed well on the platform.

However, technological factors also present threats. The proliferation of streaming platforms, including Disney+, Amazon Prime Video, HBO Max, and Apple TV+, has been enabled by the same streaming technology that Netflix pioneered. This shows that technological innovation can create competitive advantages, but those advantages may be temporary if competitors can replicate the technology.

Social Factors

Social factors have profoundly shaped Netflix's content strategy and market positioning. The most significant social trend is the shift in viewing habits away from scheduled broadcast television towards on-demand content consumption. Research by Ofcom (2023) found that viewers aged 16-34 in the UK spent more time watching streaming services than broadcast television for the first time in 2022. This shift reflects broader social changes: the expectation of instant access, the preference for binge-watching entire series, and the desire for content that can be consumed on mobile devices during commutes or breaks.

Content diversity represents another important social factor. Netflix has invested heavily in non-English-language content, producing original series and films in Korean (Squid Game), Spanish (Money Heist), German (Dark), and Hindi (Sacred Games), among others. This strategy responds to

the social trend of globalisation in entertainment consumption: audiences are increasingly willing to watch subtitled or dubbed content from other cultures (Netflix, 2024). Squid Game, a Korean-language series, became Netflix's most-watched show of all time, demonstrating that cultural barriers to content consumption are diminishing. However, Netflix must also navigate social sensitivities: content that is acceptable in one market may be offensive or even illegal in another, requiring careful localisation and content moderation strategies.

McDonald's: Globalisation and Ethical Considerations

Impact of Globalisation

McDonald's is one of the most globalised companies in the world, operating over 40,000 restaurants in more than 100 countries (McDonald's Corporation, 2024). Globalisation has been both an enormous opportunity and a significant challenge for the company. The core strategic challenge is balancing global consistency, which underpins the brand's reliability and efficiency, with local adaptation, which is essential for cultural relevance.

Menu localisation is the most visible example of McDonald's response to globalisation. In India, where a significant proportion of the population is vegetarian and beef consumption is culturally and religiously sensitive, McDonald's offers an entirely different menu centred on vegetarian options such as the McAloo Tikki burger and the Maharaja Mac made with chicken rather than beef (Vignali, 2001). In Japan, the Teriyaki McBurger reflects local taste preferences, while in France, McDonald's serves croissants and macarons in acknowledgement of French food culture. This strategy of 'glocalisation' demonstrates how a global company must adapt to local social and cultural norms to succeed.

McDonald's global supply chain represents another dimension of globalisation. The company sources ingredients from thousands of suppliers worldwide, creating a complex logistics network that must maintain consistent quality standards across diverse markets. The advantage of this global supply chain is economies of scale and purchasing power; the risk is vulnerability to supply chain disruptions, as demonstrated during the COVID-19 pandemic when port closures and labour shortages affected ingredient availability in multiple markets simultaneously (McKinsey, 2021).

Ethical Considerations

McDonald's faces significant ethical scrutiny across several dimensions, including environmental sustainability, animal welfare, and labour practices. Environmental concerns centre on the company's contribution to deforestation (through beef and soy supply chains), plastic waste from packaging, and carbon emissions from its global operations. In response, McDonald's has committed to sourcing 100 percent of its beef, coffee, fish, and palm oil from sustainable sources and has pledged to reduce greenhouse gas emissions by 36 percent by 2030 (McDonald's Corporation, 2024). However, critics argue that these targets are insufficient given the scale of the company's environmental impact and that the fast food business model is inherently resource-intensive.

Animal welfare is another area of ethical concern. Campaign groups such as Compassion in World Farming have pressured McDonald's to improve conditions in its supply chain, particularly regarding the use of battery cages for hens and the welfare standards for broiler chickens. McDonald's has responded by committing to cage-free eggs in its European and North American operations, though implementation timelines have varied by market (CIWF, 2023).

Labour practices represent a persistent ethical challenge. McDonald's and its franchisees have faced criticism for low wages, unpredictable shift scheduling, and the use of zero-hour contracts in some markets, particularly the UK. The 'Fight for $15' movement in the United States, which campaigns for a minimum wage of USD 15 per hour, has specifically targeted McDonald's as one of the largest fast food employers (Allegretto et al., 2013). The company has gradually increased starting wages in its company-owned restaurants but has less control over wages at franchised outlets, which account for approximately 95 percent of its restaurants globally. This illustrates a key ethical tension within the franchise model: the franchisor sets brand standards but cannot fully control labour practices at independently owned outlets.

PESTEC Summary Table

PESTEC Factor	Netflix	McDonald's
Political	Content regulation varies by country; must comply with local censorship laws (e.g., restrictions in certain Middle Eastern and Asian markets)	Subject to differing food safety regulations globally; trade agreements and tariffs affect supply chain costs
Economic	Subscription pricing must reflect varying purchasing power globally; economic downturns may increase 'staying in' entertainment	Consumer spending on dining out is sensitive to economic conditions; commodity price fluctuations affect food costs
Social	Shift from broadcast to on-demand viewing; demand for diverse, multilingual content; binge-watching culture	Growing health consciousness challenges fast food; cultural food preferences require menu localisation
Technological	AI-driven recommendations; streaming infrastructure; 4K/HDR delivery; mobile viewing	Automated ordering kiosks; mobile app ordering; delivery partnerships with UberEats and Deliveroo
Environmental	Energy consumption of data centres; e-waste from streaming devices	Deforestation concerns in beef supply chain; plastic packaging waste; carbon emissions from global logistics
Competitive	Intense competition from Disney+, Amazon, HBO Max, Apple TV+; local streaming services in each market	Competition from other fast food chains (Burger King, KFC), fast-casual restaurants (Nando's, Five Guys), and delivery-only kitchens

2.3 Stakeholder Analysis

It seems clear that stakeholders are individuals, groups, or organisations that have an interest in or are affected by a business's activities and decisions. Effective stakeholder management is critical because different stakeholders often have conflicting objectives, and failing to balance these can lead to operational disruption, reputational damage, or regulatory intervention. This section analyses the stakeholders of the Tata Group using Mendelow's stakeholder matrix as a framework.

Identifying Stakeholders of the Tata Group

The Tata Group, as one of India's largest and most diversified conglomerates with over 100 operating companies across sectors including automotive, steel, IT services, and hospitality, has a wide range of stakeholders. The key stakeholder groups are identified below:

Stakeholder Group	Interest in Tata Group	Influence Level
Tata Sons (Holding Company) / Tata Trusts	Strategic direction, brand integrity, philanthropic mission; the Trusts hold 66% of Tata Sons equity	Very High: controls board appointments and strategic vetoes

Shareholders (of listed subsidiaries)	Return on investment through dividends and share price growth	High: institutional investors can influence board decisions through voting
Employees (over 935,000 globally)	Job security, fair wages, career development, safe working conditions	Medium-High: collective action through unions can disrupt operations
Customers	Quality products and services at fair prices; ethical supply chains	High: customer loyalty directly determines revenue
Government and Regulators (Indian and international)	Tax revenue, compliance with regulations, contribution to economic development	High: regulatory changes can fundamentally alter operating conditions
Local Communities	Employment opportunities, environmental protection, community investment	Medium: community opposition can delay or prevent projects
Suppliers	Fair payment terms, long-term contracts, transparent procurement processes	Medium: large suppliers have leverage; small suppliers have less

Mendelow's Stakeholder Matrix

Mendelow's matrix classifies stakeholders according to their level of power (ability to influence the organisation) and their level of interest (how much they care about the organisation's activities). This classification determines the appropriate engagement strategy for each stakeholder group (Mendelow, 1991).

	Low Interest	High Interest
Low Power	Minimal Effort General public, media (monitor occasionally)	Keep Informed Local communities, small suppliers (regular communication, CSR reports)
High Power	Keep Satisfied Government regulators (comply proactively, engage in policy consultations)	Key Players Tata Trusts/Tata Sons, major shareholders, employees (close engagement, strategic alignment)

Stakeholder Conflicts

Stakeholder conflicts arise when the interests of different groups are fundamentally incompatible. Within the Tata Group, several significant conflicts can be identified.

Employee Welfare vs Shareholder Profit Expectations: This is perhaps the most common stakeholder conflict in any large corporation. Shareholders, particularly institutional investors in listed Tata subsidiaries such as TCS and Tata Motors, expect the company to maximise returns through cost efficiency, which can include reducing labour costs. Employees, on the other hand, seek higher wages, better benefits, and greater job security. The Tata Group has historically managed this tension better than many competitors because of its philanthropic ownership structure: because the Tata Trusts are the majority shareholder of Tata Sons, there is less pressure to prioritise short-term profit maximisation over employee welfare (Lala, 2006). However, this does not eliminate the conflict entirely. In 2016, Tata Steel was forced to consider selling its UK operations, including the Port Talbot steelworks in Wales, due to unsustainable financial losses. This decision pitted the interests of approximately 11,000 UK employees against the financial interests of Tata Steel shareholders who were bearing the cost of continued losses (BBC, 2016).

Case Study: Tata Nano and Community Opposition

The Tata Nano project provides a specific case study of stakeholder conflict. In 2006, Tata Motors began building a manufacturing plant for the Nano, marketed as the world's cheapest car, in Singur, West Bengal. The West Bengal government had acquired approximately 1,000 acres of agricultural land for the factory, displacing farmers who depended on that land for their livelihoods. While the government and Tata Motors argued that the factory would bring jobs and economic development to the region, local farming communities, supported by political opposition leader Mamata Banerjee, launched sustained protests against the land acquisition (Sinha, 2009).

This conflict illustrates a classic stakeholder tension: the interests of the company (efficient production), the government (industrial development and tax revenue), and employees (jobs) aligned in favour of the factory, while the interests of local farmers (livelihood protection) and environmental groups (preservation of agricultural land) were opposed. Applying Mendelow's matrix, the local farming community initially appeared to be a 'keep informed' stakeholder with low power. However, by allying with a powerful political leader, they effectively moved to the 'key player' quadrant, gaining both power and interest. The result was dramatic: Tata Motors was forced to abandon the Singur plant in October 2008 and relocate to Sanand in Gujarat, at an estimated cost of over USD 350 million and a significant delay in the Nano's launch. This case demonstrates that stakeholder power can override strategic decisions, even when those decisions are commercially viable.

This case demonstrates that stakeholder positions on Mendelow's matrix are not static. Stakeholders can increase their power through collective action and political alliances, and organisations that fail to anticipate these shifts risk costly strategic setbacks. The Singur experience prompted the Tata Group to adopt more robust community engagement processes for future projects, recognising that early and genuine consultation with local communities is not merely an ethical obligation but a strategic necessity.

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Assessment Criteria Mapping

The following table maps each task in this report to the relevant assessment criteria for Unit J229 76 Understanding Business.

Section	Task Description	Assessment Criteria	Marks
1.1.1	Compare three organisations across sectors (Tata Motors, NHS Scotland, Oxfam)	1.1 Comparing organisations across sectors by scale, structure, specialisation, regulation, and capital	8
1.1.2	Compare ownership types (Ltd, Plc, Franchise)	1.1 Comparing business ownership structures	6
1.1.3	Explain organic and inorganic growth with examples	1.1 Explaining business growth strategies	6
1.2.1	Explain objectives for four organisations (Jio, Tata, Amul, Unilever)	1.2 Explaining why organisations adopted specific objectives at specific times	15
1.3.1	Explain organisational structures (hierarchical, functional, matrix)	1.3 Explaining organisational structures with real examples	10
1.3.2	Explain decision levels with SWOT and decision tree	1.3 Explaining strategic, tactical, and operational decisions	5
2.1	Analyse internal factors comparing Toyota and Boeing	2.1 Analysing internal factors affecting business performance	15
2.2	Analyse external PESTEC factors for Netflix and McDonald's	2.2 Analysing external factors using PESTEC framework	20
2.3	Analyse stakeholders of Tata Group using Mendelow's matrix	2.3 Analysing stakeholder influence and conflicts	15

Total Marks: 100